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THE NATURE OF BANKING IN NIGERIA

INTRODUCTION

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Every discipline or field of study has its peculiar terminologies and or concepts. Some of the concepts and terms are entrenched in the relevant laws while some evolve from practice of the profession, business or trade. Some of those terms may or may not be defined by law. The need for conceptual clarification becomes necessary to lay a basic and proper background for understanding of the subject of study. This is more so that legal definitions of terms are subject to several interpretations depending on the perception of persons until such is definitely settled by judicial authority. It is against this backdrop that the definitions of the key terms such as "Bank" (Banker), "Banking Business" and "Bank Customer" will be sought from both the relevant statutes and practice for better understanding.

Nature of Banking in Nigeria

The nature of banking in Nigeria can only be properly understood when we are able to define who is a banker, customer and what constitutes banking business.

Definition of Bank (Banker)

It must be noted that a variety of statutes define a bank or a banker for particular purposes without actually explaining the term itself. Regrettably, both the Banks and other Financial Institutions Act (BOFIA) 2004 and the Central Bank of Nigeria Act, the principal statutes governing banks in Nigeria have not defined what a bank is. However, by the implication of Section 55 of the CBN Act the definition of bank in the repealed Banking Act of 1990 still applies. Section 43 of the Banking Act defines a bank as "Any person who carries on banking business and includes a commercial bank, an acceptance house, discount house, financial institution and merchant bank" see also section 2(1) Evidence Act. Section 2 of the Bill of

Exchange Act 2004 defines "banker" which "includes a body of persons whether incorporated or not who carry on the business of banking".

At common law, the activities inherent in the business of banking are considered as being the criteria for determining who is and who is not a banker. In *United Dominions Trust v Kirkwood* (1966) 1 ALL ER 968 1, 3, where it had to be decided whether UDT were moneylenders within the meaning of the Money Lenders Act 1990 or, as they maintained, bankers and therefore exempt from registration under the Act, the Court of Appeal identified three activities as being the definitive characteristics of bankers. They:

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- (a) Accept money from and collect cheques for their customers and place them to their credit. ✓
 - (b) Honour cheques or orders drawn on them by their customers when presented for payment and debit their customers' accounts accordingly; ✓
 - (c) Keep current accounts in which the credits and debits are entered ✓

In its ordinary grammatical meaning, the word 'bank' means an organization that provides financial services. It is a financial establishment for the deposit, loan, exchange or issue of money and for transmission of funds. See *Patil v F.R.N* (2016) 8 NWLR (part 1515) 483, 492; *FMBN v NDIC* (1999) 2 NWLR (part 591) 333. A bank is said to mean an organization or place that provides financial services. . See *CBN v S.C.S.B.V (No. 1)* (2015) 11 NWLR (part 1469) 130, also the case of *Trade Bank plc v. Barilux (Nig) Ltd* (2000) 13 NWLR (pt. 685) on definition of bank. A Bank in Nigeria is a body holding a certificate or a licence to carry on banking business issued by the Central Bank of Nigeria. See *Atoyebi v Barclays Bank Plc* (2016) 15 NWLR (part 1534) 34, 43;

The words 'bank' or 'banker' are used interchangeably to mean one and the same thing and are referred to an incorporated and licenced corporate body and not an

Atoyebi v Barclays Bank

individual who works in a bank. *See Akwule & 10 others v. Reginom* (1963) All NLR

Banking Business.

Section 66 of the Banks and Other Financial Institutions Act (BOFIA) 2004 defines banking business as "The business of receiving deposits on current account, savings account or other similar account, paying or collecting cheques, drawn by or paid in by customers; provisions of finance or such other business as the Governor may, by order published in the Federal Gazette, designate as banking business" See *Trade Bank Plc v. Barilux (Nig.) Ltd(Supra)*. See also section 43 of the repealed Banking Act, 1990. 193. Not every entity is allowed to carry on banking business in Nigeria. By virtue of section 2 of the Banks and Other Financial Institutions Act, Cap. B3, Laws of the Federation of Nigeria, 2004, no person shall carry on any banking business in Nigeria except:

- (a) It is a company duly incorporated in Nigeria;
- (b) It holds a valid banking licence issued under the Act

Bank Customer

The issue of who is a 'customer' within the context of the banker and customer relationship is of practical significance for the purposes of the application of certain contractual and statutory obligations, which regulate the scope of the banker and customer relationship. For instance, the implied contractual terms determine the scope of duties owed by the parties to the banker and customer relationship, while statute generally determines the scope of defences available to the bank in payment transaction, as well imposing other obligations on the parties. Thus, for example, the implied contractual terms under the banker and customer relationship impose certain duties on the bank including an obligation on the bank to confirm to the customer's mandate and a duty of confidentiality to its customer.

Other statutory provisions confer on a customer the right of the customer to countermand the payment of cheques

There is no statutory definition of what bank customer is. A customer of a bank is a person who has entered into a contract with the bank for the opening of an account in his or her name. The main requirement to become a bank's customer is having an account irrespective of what form of account (whether saving, deposit or current) provided the account is in his name. See *UBN Plc v. ITPP Ltd* (2000) 12 NWLR pt 680; *Ademuluyi & 1 Anor v. ACB Ltd.* (1969) 3 ALR Comm 10; *NNB Ltd v. Odiase* (1993) 8 NWLR Pt 310. In addition, one becomes a customer when he makes an offer to open an account and the banks accepts e.g. acceptance of deposit. Undoubtedly creates a binding and enforceable contract. See *Ladbroke & Co v. Todd* (1914) 30 TLR 433; *Union Bank v. Integrated Timber and Plywood products Ltd* (2000) 12 NWLR pt 680, 99.

A person who has an account with a bank is said to be the customer of the bank. A person can become a customer of a bank as soon as he opens an account in a bank and starts the transaction i.e the first transaction takes place. If a person doesn't have a bank account and he makes casual transactions through a bank, he will not be regarded as a customer of the bank, even if transactions are carried out by him for a long time. In *Great Western Railway Co v London and County Banking Co Ltd* (1901) AC 414, a rate collector had habitually cashed cheques over the counter of the defendant bank, with which the rural authority maintained an account, with the rate collector keeping part of the funds and depositing the rest to the credit of the authority's account. In one instance, the rate collector cashed a cheque over the counter obtained by fraud and the bank was sued for conversion. On the question of whether the cheque had been collected by the bank for its customer, the court held that although the bank had regularly cashed cheques at the rate collector's request for a number of years, he was not a customer of the bank as he

did not maintain an account with the bank personally. In respect of the fraudulent cheque the bank had, therefore, merely collected the money for itself and since it had a defective title to the instrument, the bank was liable to the true owner. Therefore it is not essential for a course of dealings to be maintained over a period of time; the relationship is contractual and therefore arises immediately the customer's offer to open the account is accepted by the bank. *Barclays Bank Ltd v Okenarhe* (1966) 2 Lloyd's Rep 51 355-356. The existence of an account or a contractual agreement to open one is sufficient. However, no matter how many transactions have taken place between a bank and an individual, that person will not be a customer unless, and until, the application to open an account has been made and accepted, i.e a contractual relationship has been established: *Great Western Railway Co. Ltd v London and County Banking Co Ltd* (1901) AC 683 (HL), where cashing uncrossed cheques payable to a person who had no account with the bank did not make that person a customer of the bank.

Thus, the bank must maintain an account, whether a current or deposit account, to instigate the banker and customer relationship and make the recipient of the banking services a customer. The mere opening of an account is sufficient to create a banker and customer relationship even if the customer has never drawn on that account. In *Ladbroke & Co v Todd* (1914) 30 LTR 433, a rogue who stole a cheque opened an account with the defendant bank under the name of the payee on the instrument. On the cheque being cleared, the rogue withdrew the funds and in an action for conversion by the drawer, it was held by Bailhache J that the rogue became a customer of the bank when the bank agreed to open the account and the fact that he had not been allowed to withdraw the proceeds of the cheque was irrelevant to the existence of the banker and customer relationship. See also *Commissioner of Taxation v English, Scottish and Australian Bank Ltd* ((1920) AC 683, where Lord Dunedin in delivering his judgment observed that:

The word 'customer' signifies a relationship in which duration is not of the essence. A person whose money has been accepted by a bank on the footing that they undertake to honour cheques up to the amount standing to his credit is...a customer of the bank...irrespective of whether his connection is of short or long standing. The contrast is between a casual service, such as, for instance, cashing a cheque for a person introduced by one of their customers, and a person who has an account of his own at the bank.

However, beyond having an account with a bank, a bank customer includes any person for whom the bank has agreed to collect items. See *Conoil v Plc v Solomon* (2017) 3 NWLR (part 1551) 50, 56; *NDIC v Okem Ent. Ltd* (2004) 10 NWLR (part 880) 107.

CONCLUSION

The conceptual clarification of the terms Bank (Banker), Banking business, and bank customer has underpinned the nature of banking in Nigeria. By all indications a bank or banker must be a body corporate established for the purpose of carrying banking business. In doing so, it renders services to persons (both corporate and natural) who are referred to as its customers. A Bank (Banker) even though it is referred to as a person, it must be a corporate body established for the purpose carrying on banking business. The business of banking is diverse but majorly and traditionally, it is the receiving of deposits on accounts, paying and collecting cheques drawn, or paid by customers and render other financial services. While bank customer is the person either as natural persons or corporate bodies who receives service from the bank.